

Math Bootcamp

Day 2 — More calculus and a bit of linear algebra

Math Camp 2026

How to use these slides

Main deck: definitions, recipes, examples, and practice.

Appendix and proofs (marked on relevant slides): **for interest only** — optional recap for those already comfortable with the math.

Not required for Math Camp. Focus on the main slides and exercises unless you want the extra detail.

2.1 Explicit vs. implicit relationships

Explicit: one variable is written directly as a function of others.

$$y = g(x) \quad \text{e.g.} \quad p^* = \frac{\alpha - c}{b + d}.$$

Implicit: variables are linked by an equation $F(x, y) = 0$.

$$F(x, y) = 0 \quad \text{e.g.} \quad E(p, \alpha) = 0 \quad (\text{market clearing}).$$

Often we **know** F but cannot solve for $y = g(x)$ in closed form. The IFT says: under regularity conditions, y is still locally a function of x , and we can compute $\frac{dy}{dx}$ without solving explicitly.

2.1 What problem does the IFT solve?

Comparative statics question. How does an endogenous variable respond when an exogenous parameter shifts?

- Equilibrium price $p^*(\alpha)$ when demand depends on shifter α
- Optimal choice $x^*(w)$ from a first-order condition $F(x, w) = 0$
- Equilibrium objects defined by $F(x, \theta) = 0$ without closed-form solutions

Pattern: an equilibrium condition $F(x, \theta) = 0$ defines $y^*(\theta)$ implicitly. We want $\frac{dy^*}{d\theta}$ — the IFT delivers this from partials of F .

2.1 One-variable IFT — statement and recipe

Let $F(x, y)$ be C^1 near (x_0, y_0) with $F(x_0, y_0) = 0$. If $F_y(x_0, y_0) \neq 0$, then locally there is a unique g such that

$$y = g(x), \quad F(x, g(x)) = 0, \quad g(x_0) = y_0,$$

and

$$\boxed{g'(x) = \frac{dy}{dx} = -\frac{F_x(x, y)}{F_y(x, y)}} \quad \text{on the curve } F(x, y) = 0.$$

Recipe. Totally differentiate $F(x, y) = 0$:

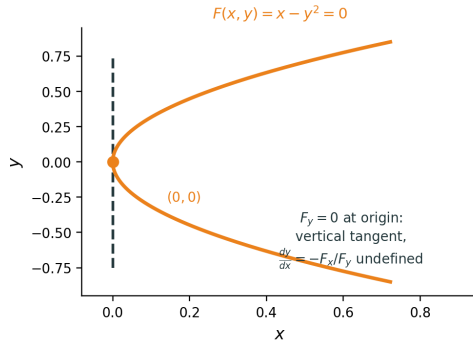
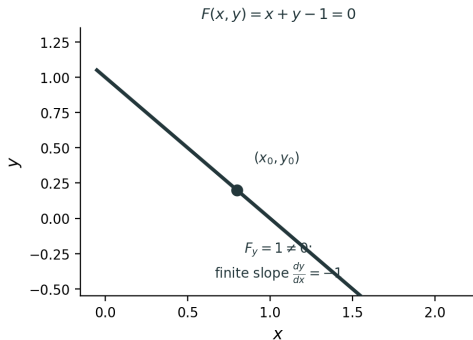
$$0 = dF = F_x dx + F_y dy \quad \Rightarrow \quad \frac{dy}{dx} = -\frac{F_x}{F_y} \quad \text{when } F_y \neq 0.$$

Several variables (**for interest only**): [appendix](#).

2.1 Why $F_y \neq 0$? — regularity condition

Left: $F_y \neq 0$ at (x_0, y_0) — tangent has finite slope; locally $y = g(x)$. **Right:** $F_y = 0$ at $(0, 0)$ — **vertical tangent**; $\frac{dy}{dx} = -F_x/F_y$ is undefined.

Why the IFT needs $F_y \neq 0$



2.1 — Comparative statics practice (no closed form)

Together

Nonlinear demand: $D(p, \alpha) = \alpha e^{-p}$, $S(p) = p$, $\alpha > 0$.

No elementary closed form for $p^*(\alpha)$.

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3. IFT at $p = p^*$:

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5. $\alpha = 2$: $2e^{-p} = p$ gives $p^* \approx 0.85$, so $\frac{dp^*}{d\alpha} \approx 0.23$.

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5. $\alpha = 2$: $2e^{-p} = p$ gives $p^* \approx 0.85$, so $\frac{dp^*}{d\alpha} \approx 0.23$.

No closed form for $p^*(\alpha)$ — IFT still works.

2.1 Applications — motivation

You just used the IFT recipe. Write $E(p, \theta) = 0$, compute E_p and E_θ , then $\frac{dp^*}{d\theta} = -\frac{E_\theta}{E_p}$ — even when $p^*(\theta)$ has no closed form.

Why these examples? They are the standard micro patterns behind that recipe:

- **Demand shifter α :** when does equilibrium price move up or down?
- **Linear market:** IFT matches the answer from solving $E = 0$ explicitly
- **Tax t :** same formula, different parameter — who bears the tax?

Goal. Connect the abstract formula to comparative statics you will see in economics.

2.1 Application — setup

Market clearing. Quantity demanded equals quantity supplied:

$$D(p, \alpha) = S(p),$$

where p is price and $\alpha > 0$ is a **demand shifter** (e.g. consumer income, taste index, population).

Define excess demand

$$E(p, \alpha) = D(p, \alpha) - S(p).$$

An equilibrium price $p^*(\alpha)$ satisfies

$$E(p^*(\alpha), \alpha) = 0.$$

Question: when α rises, does equilibrium price p^* rise or fall? Use $\frac{dp^*}{d\alpha} = -\frac{E_\alpha}{E_p}$.

2.1 Application — linear example

Linear demand and supply:

$$D(p, \alpha) = \alpha - bp, \quad S(p) = c + dp, \quad b, c, d > 0.$$

Excess demand $E(p, \alpha) = D(p, \alpha) - S(p) = \alpha - c - (b + d)p$. Equilibrium $p^*(\alpha)$ satisfies $E(p^*(\alpha), \alpha) = 0$.

Partials: $E_p = -(b + d) \neq 0$, $E_\alpha = 1$.

IFT:

$$\frac{dp^*}{d\alpha} = -\frac{E_\alpha}{E_p} = \frac{1}{b + d} > 0.$$

2.1 Application — check by explicit solution

From $E(p^*(\alpha), \alpha) = 0$:

$$p^*(\alpha) = \frac{\alpha - c}{b + d}.$$

Differentiate explicitly:

$$\frac{dp^*}{d\alpha} = \frac{1}{b + d},$$

matching the IFT formula $-\frac{E_\alpha}{E_p}$.

When IFT is essential: nonlinear $D(p, \alpha)$ or $S(p)$ — $p^*(\alpha)$ may have no closed form, but

$$\frac{dp^*}{d\alpha} = -\frac{E_\alpha}{E_p} \quad \text{at } p = p^*(\alpha)$$

still gives the local comparative static (as in the practice problem).

2.1 Application — economic interpretation

Chain rule. Since $E(p^*(\alpha), \alpha) = 0$ for all α ,

$$0 = \frac{d}{d\alpha} E(p^*(\alpha), \alpha) = \underbrace{E_\alpha(p^*, \alpha)}_{\text{direct}} + \underbrace{E_p(p^*, \alpha) \frac{dp^*}{d\alpha}}_{\text{indirect via } p^*}.$$

So $\frac{dp^*}{d\alpha} = -\frac{E_\alpha}{E_p}$ when $E_p \neq 0$.

Two effects of higher α on excess demand (in words).

1. **Direct effect:** holding p fixed, higher α raises demand $\Rightarrow E$ goes **up** ($E_\alpha > 0$).
2. **Indirect effect:** equilibrium price adjusts; higher p makes E **lower** ($E_p < 0$).

Why must p^* rise? The direct effect alone would create excess demand at the old price. Price rises until the indirect effect offsets it and restores $E = 0$. With $E_\alpha > 0$ and $E_p < 0$, this requires $\frac{dp^*}{d\alpha} > 0$.

2.1 Example — tax incidence (economics)

Setup. Demand $D(p) = \alpha - bp$, supply $S(p) = c + dp$ ($b, d > 0$). A per-unit tax t on **sellers**: buyers pay p , sellers receive $p - t$.

Clearing: $D(p) = S(p - t)$, so $E(p, t) = \alpha - bp - c - d(p - t) = 0$ and $p^*(t)$ is implicit.

Partials: $E_p = -(b + d)$, $E_t = d$. **IFT:**

$$\frac{dp^*}{dt} = -\frac{E_t}{E_p} = \frac{d}{b + d} > 0.$$

Incidence shares (per \$1 of tax). Buyer price rises by $\frac{dp^*}{dt} = \frac{d}{b + d}$; seller net price falls by $\frac{b}{b + d}$.

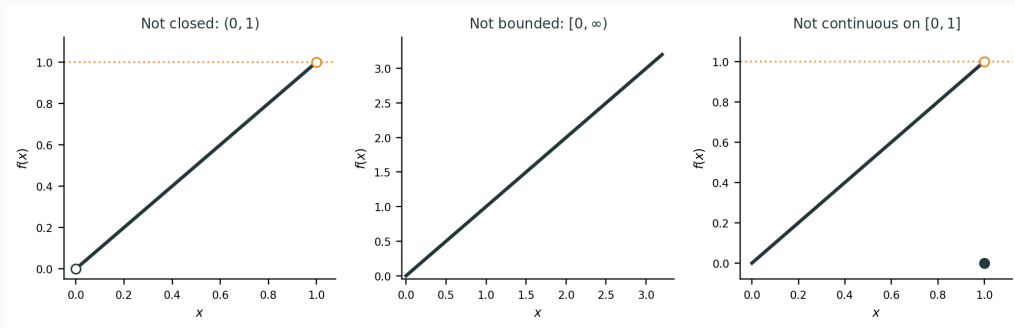
Interpretation (elasticity). In this linear market, larger b means more elastic demand and larger d means more elastic supply. The tax is borne **more heavily by the less elastic side**: if demand is relatively inelastic (small b), buyers pay most of the tax; if supply is relatively inelastic (small d), sellers pay most.

2.2 Extreme Value Theorem

Extreme Value Theorem (EVT). If f is **continuous** on the closed interval $[a, b]$, then f attains a **maximum** and a **minimum** on $[a, b]$.

So $\exists c, d \in [a, b]$ such that

$$f(c) \leq f(x) \leq f(d) \quad \text{for all } x \in [a, b].$$



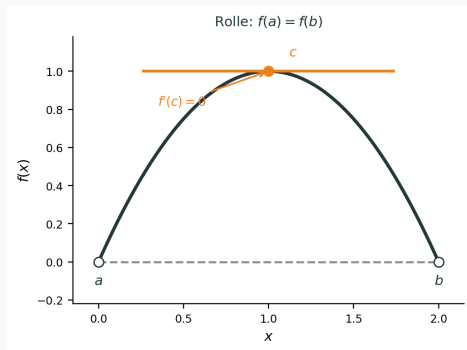
2.2 Rolle's theorem

Rolle's theorem. If f is continuous on $[a, b]$, differentiable on (a, b) , and $f(a) = f(b)$, then $\exists c \in (a, b)$ with $f'(c) = 0$.

for interest only

Proof. If f is constant on $[a, b]$, any $c \in (a, b)$ works. Otherwise, by EVT, f has a maximum or minimum on $[a, b]$. Since $f(a) = f(b)$, this extremum occurs at some **interior** point $c \in (a, b)$. At an interior peak or trough, the tangent is horizontal, so $f'(c) = 0$. $\square$

Special case of the MVT below with $f(a) = f(b)$.



2.2 Mean Value Theorem

Mean Value Theorem (MVT). If f is continuous on $[a, b]$ and differentiable on (a, b) , then $\exists c \in (a, b)$ such that

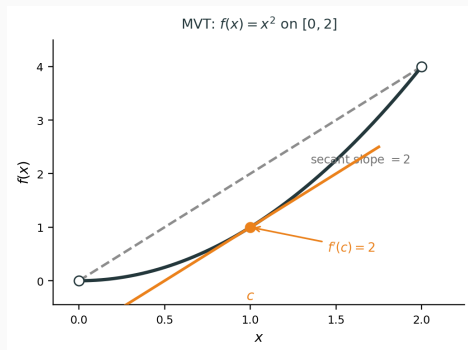
$$f'(c) = \frac{f(b) - f(a)}{b - a}.$$

Picture: some interior tangent is **parallel** to the secant through $(a, f(a))$ and $(b, f(b))$.

Example. $f(x) = x^2$ on $[0, 2]$: secant slope = 2, so $f'(c) = 2c = 2$ gives $c = 1$.

for interest only

Proof idea: define $g(x) = f(x) - m(x - a)$ with $m = \frac{f(b) - f(a)}{b - a}$; then $g(a) = g(b)$, Rolle gives $f'(c) = m$.



2.2 Example — labor and output (economics)

Setup. A firm produces $f(L)$ units of output using labor L . Suppose f is continuous on $[L_1, L_2]$ and differentiable on (L_1, L_2) .

MVT. $\exists L^* \in (L_1, L_2)$ such that

$$f'(L^*) = \frac{f(L_2) - f(L_1)}{L_2 - L_1}.$$

Interpretation. At some interior input level, the **marginal product of labor** equals the **average product** over the whole change from L_1 to L_2 .

Same idea for cost: on $[0, q]$, some q^* has $C'(q^*) = C(q)/q$ (marginal cost = average cost).

2.3 Integral as area and accumulation

Riemann idea. For $f \geq 0$ on $[a, b]$,

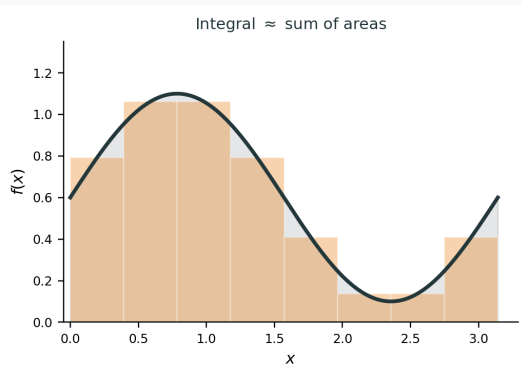
$$\int_a^b f(x) dx \approx \sum_{i=1}^n f(x_i^*) \Delta x$$

is the **signed area** under the curve / total accumulation.

Definite vs indefinite.

- Definite: $\int_a^b f(x) dx$ is a number
- Indefinite: $\int f(x) dx = F(x) + C$ is a family of antiderivatives

Econ: total cost, consumer surplus, probability mass.



2.3 Riemann vs. Lebesgue — for interest

Not required for Math Camp.

Two ways to define $\int f$.

Riemann (this camp)

Chop the x -axis into small pieces

Sum (height) $\times$ (width)

Good for hand calculations

Area under curve picture

Lebesgue (grad / probability)

Chop the y -axis into levels

Sum (level) $\times$ (measure of set where f hits that level)

Integrates more pathological functions

Foundation for modern probability

Contrast in one sentence. Riemann slices **vertically**; Lebesgue slices **horizontally** by value.

2.3 Lebesgue integral — for interest

Not required for Math Camp.

When Riemann fails. Riemann needs the function to be “well behaved” on intervals: too many jumps can prevent upper and lower sums from converging to the same number.

Classic example (not Riemann integrable). Dirichlet function on $[0, 1]$:

$$f(x) = \begin{cases} 1, & x \in \mathbb{Q}, \\ 0, & x \notin \mathbb{Q}. \end{cases}$$

Every interval contains rationals and irrationals, so upper and lower Riemann sums never agree — no Riemann integral.

Lebesgue handles this. It integrates by **level sets**, so a “sparse” jump set like $\mathbb{Q}$ does not block integration the way Riemann’s interval partitions do.

2.3 Fundamental Theorem of Calculus

Part I. If $F'(x) = f(x)$, then

$$\int_a^b f(x) dx = F(b) - F(a).$$

Part II. If f is continuous and $F(x) = \int_a^x f(t) dt$, then $F'(x) = f(x)$.

Differentiation and integration are inverse operations (MVT underlies many proofs).

2.3 Integration by parts

From the product rule. For differentiable $u(x)$ and $v(x)$,

$$(uv)' = u'v + uv' \quad \Rightarrow \quad uv' = (uv)' - u'v.$$

Integrate both sides:

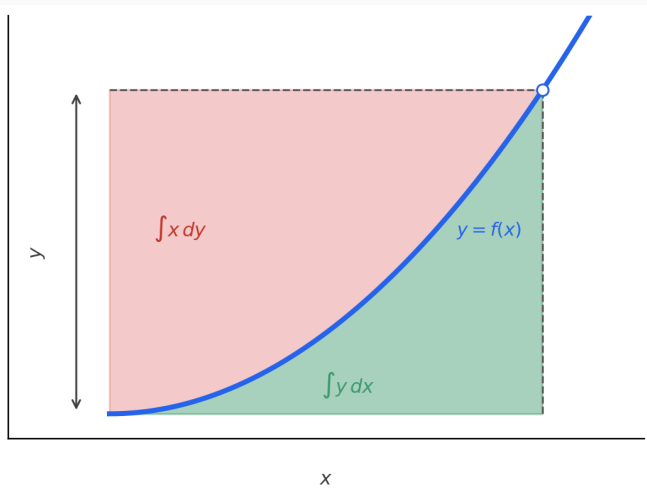
$$\int u v' dx = uv - \int u' v dx \quad \text{or} \quad \boxed{\int u dv = uv - \int v du}.$$

On $[a, b]$ with $u'v$ integrable,

$$\int_a^b u(x)v'(x) dx = \left[u(x)v(x) \right]_a^b - \int_a^b u'(x)v(x) dx.$$

Pick u and dv so the new integral $\int v du$ is simpler.

2.3 Integration by parts (graph)



2.3 Integration by parts — example

Example. $\int x e^x dx$.

Let $u = x$, $dv = e^x dx$, so $du = dx$, $v = e^x$:

$$\int x e^x dx = x e^x - \int e^x dx = x e^x - e^x + C = e^x(x - 1) + C.$$

Check. $\frac{d}{dx} [e^x(x - 1)] = e^x(x - 1) + e^x = x e^x$. ✓

2.3 PMF and CMF — discrete example (dice)

Setup. Fair die: $X \in \{1, 2, 3, 4, 5, 6\}$.

Probability mass function (PMF): $p(k) = P(X = k) = \frac{1}{6}$ for $k = 1, \dots, 6$.

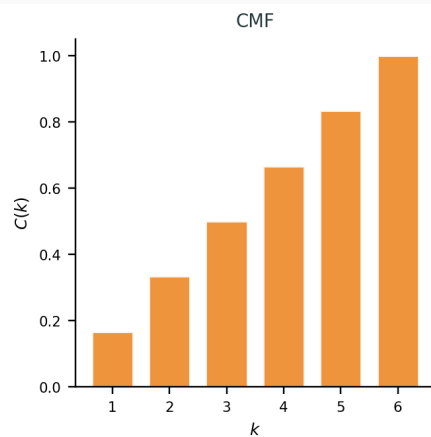
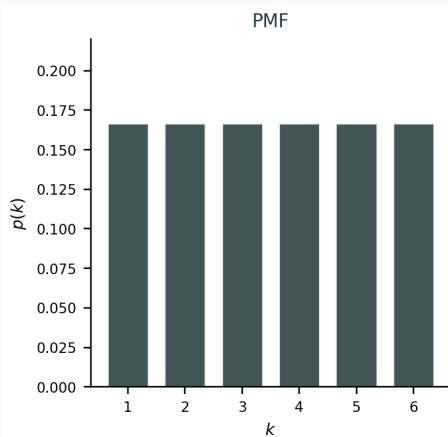
Event (sum rule): $P(2 \leq X \leq 4) = p(2) + p(3) + p(4) = \frac{1}{2}$.

Cumulative mass function (CMF): $C(k) = P(X \leq k) = \sum_{j \leq k} p(j)$, defined only at the **outcomes** $k = 1, \dots, 6$ (not a continuous curve in x).

Example: $C(3) = p(1) + p(2) + p(3) = \frac{1}{2}$.

Discrete: **PMF/CMF** and **sums**. Continuous (next slides): **PDF/CDF** and **integrals**.

2.3 PMF and CMF — dice (graph)



2.3 PDF and CDF — continuous case

Let X be a continuous random variable.

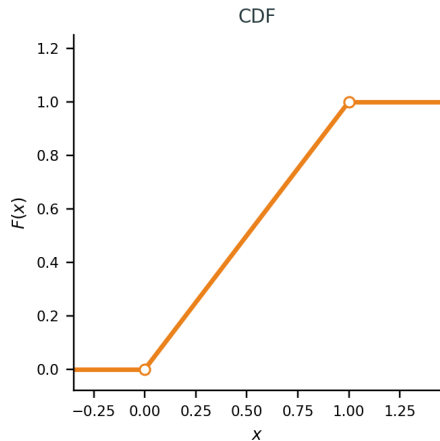
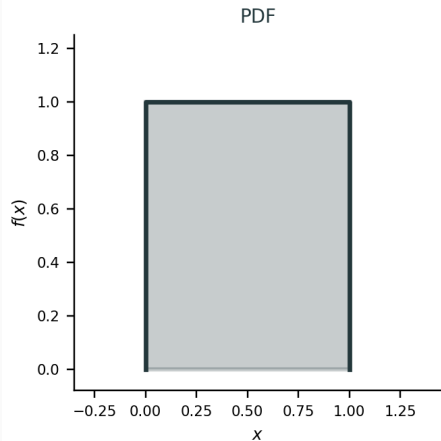
Probability density function (PDF): $f(x) \geq 0$ and $\int_{-\infty}^{\infty} f(x) dx = 1$. Then

$$P(a \leq X \leq b) = \int_a^b f(x) dx.$$

Cumulative distribution function (CDF): $F(x) = P(X \leq x) = \int_{-\infty}^x f(t) dt$; a **continuous** curve in x (not jumps on a finite outcome list).

FTC: if f is continuous, then $F'(x) = f(x)$.

2.3 PDF and CDF — Unif(0,1) (graph)



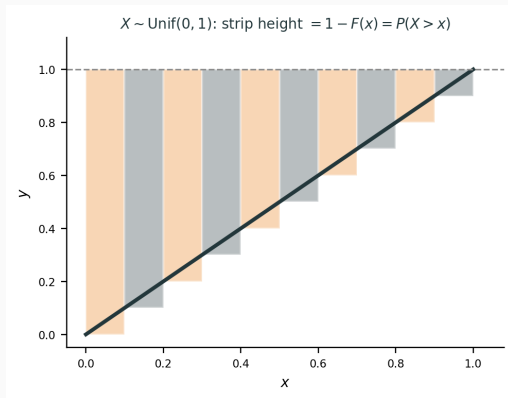
2.3 Expectation from the CDF

For a **non-negative** continuous X with PDF f and CDF F ,

$$\mathbb{E}[X] = \int_0^{\infty} xf(x) dx = \int_0^{\infty} (1 - F(x)) dx.$$

Intuition. For $X \sim \text{Unif}(0, 1)$, each vertical strip has height $1 - F(x)$; $\mathbb{E}[X]$ is their total area.

Derivation via integration by parts (**for interest only**):
[appendix](#).



2.4 Leibniz rule — fixed limits

Setup. $F(\theta) = \int_a^b f(x, \theta) dx$ with fixed a, b .

Leibniz rule (fixed limits). When regularity holds,

$$\frac{dF}{d\theta} = \int_a^b \frac{\partial f}{\partial \theta}(x, \theta) dx.$$

Regularity (enough for this camp).

- $\frac{\partial f}{\partial \theta}(x, \theta)$ exists
- f and $\frac{\partial f}{\partial \theta}$ are **continuous** in (x, θ)

Then you may swap $\frac{d}{d\theta}$ and $\int_a^b$.

Idea. Only the integrand moves with θ ; the limits a, b stay fixed.

When regularity fails (**for interest only**): [appendix](#).

2.4 Leibniz rule — variable limits

Setup. $F(\theta) = \int_{a(\theta)}^{b(\theta)} f(x, \theta) dx.$

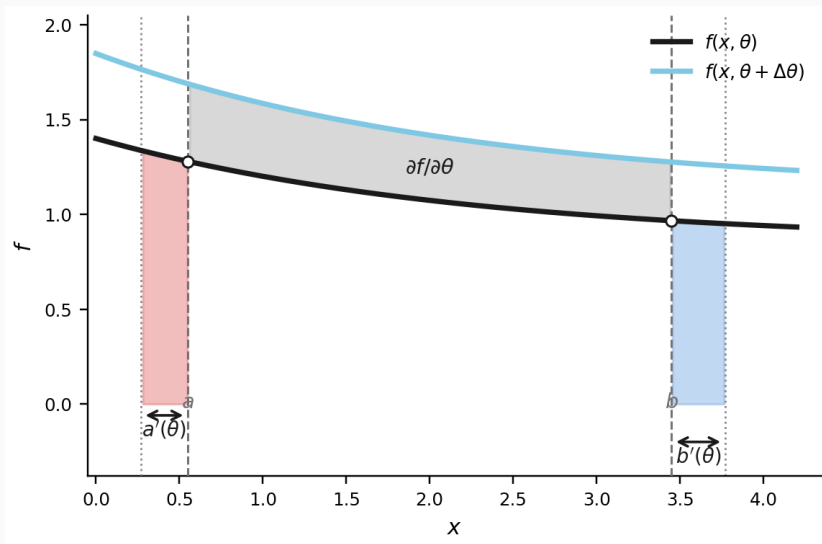
Leibniz rule (variable limits). When $a(\theta)$, $b(\theta)$ are differentiable and regularity holds,

$$\frac{dF}{d\theta} = f(b(\theta), \theta) b'(\theta) - f(a(\theta), \theta) a'(\theta) + \int_{a(\theta)}^{b(\theta)} \frac{\partial f}{\partial \theta}(x, \theta) dx.$$

Three parts. (i) area added/lost at the **upper** limit b ; (ii) at the **lower** limit a ; (iii) change **inside** the interval $(\partial f / \partial \theta)$.

Graph on next slide: grey = $\partial f / \partial \theta$; pink/blue = lower/upper limit terms $(a'(\theta), b'(\theta))$.

2.4 Leibniz rule — variable limits (graph)



2.4 Fubini's theorem

Statement. If f is **integrable** on region D , i.e.

$$\iint_D |f(x, y)| \, dx \, dy < \infty,$$

then

$$\iint_D f(x, y) \, dx \, dy = \int \left(\int f(x, y) \, dx \right) dy = \int \left(\int f(x, y) \, dy \right) dx,$$

(inner limits depend on the shape of D).

Camp shortcut. If D is bounded and f is **continuous** on D , then f is integrable and Fubini applies.

Tonelli (for interest): if $f \geq 0$ and measurable, the same swap holds without checking $\iint |f|$ first.

2.4 Fubini — triangle example

Example (triangle).

$$D = \{(x, y) : 0 \leq x \leq 1, 0 \leq y \leq x\}.$$

Compute $\iint_D (x + y) dx dy$.

y first, then x: for fixed x , $y \in [0, x]$:

$$\int_0^1 \int_0^x (x + y) dy dx = \int_0^1 \left[xy + \frac{y^2}{2} \right]_0^x dx = \int_0^1 \frac{3x^2}{2} dx = \frac{1}{2}.$$

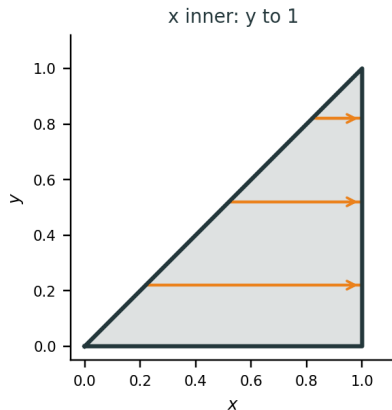
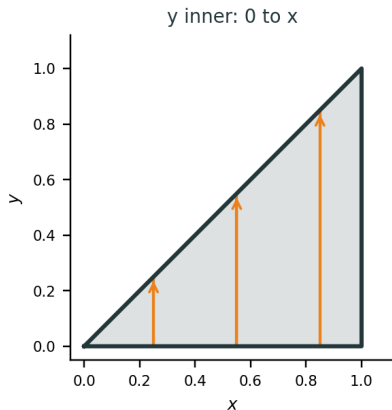
x first, then y: for fixed y , $x \in [y, 1]$:

$$\int_0^1 \int_y^1 (x + y) dx dy = \int_0^1 \left[\frac{x^2}{2} + xy \right]_y^1 dy = \int_0^1 \left(\frac{1}{2} + y - \frac{3y^2}{2} \right) dy = \frac{1}{2}.$$

Graph on next slide: same triangle, different slice directions.

2.4 Fubini — triangle (graph)

Triangle D : $0 \leq x \leq 1$, $0 \leq y \leq x$



2.5 Taylor expansion — formal statement

One variable. If f has n derivatives at a ,

$$f(a + h) = \sum_{k=0}^n \frac{f^{(k)}(a)}{k!} h^k + R_n(h), \quad R_n(h) \rightarrow 0 \text{ faster than } h^n.$$

Several variables ($f: \mathbb{R}^m \rightarrow \mathbb{R}$, $\mathbf{a} \in \mathbb{R}^m$). If f is C^2 near $\mathbf{a}$,

$$f(\mathbf{a} + \mathbf{h}) = f(\mathbf{a}) + \nabla f(\mathbf{a}) \cdot \mathbf{h} + \frac{1}{2} \mathbf{h}^T H_f(\mathbf{a}) \mathbf{h} + o(\|\mathbf{h}\|^2),$$

$H_f(\mathbf{a})$ = Hessian at $\mathbf{a}$ (matrix of second partials).

Proof (one variable): [appendix \(for interest only\)](#).

2.5 First-order approximation

One variable (truncate at $k = 1$):

$$f(a + h) \approx f(a) + f'(a) h.$$

Several variables:

$$f(\mathbf{a} + \mathbf{h}) \approx f(\mathbf{a}) + \nabla f(\mathbf{a}) \cdot \mathbf{h}.$$

2.5 Second-order approximation

One variable (truncate at $k = 2$):

$$f(a + h) \approx f(a) + f'(a) h + \frac{1}{2} f''(a) h^2.$$

Several variables:

$$f(\mathbf{a} + \mathbf{h}) \approx f(\mathbf{a}) + \nabla f(\mathbf{a}) \cdot \mathbf{h} + \frac{1}{2} \mathbf{h}^\top H_f(\mathbf{a}) \mathbf{h}.$$

Use. Captures **curvature** (concavity, cross-partials); improves forecasts when the first-order term is not enough.

Itô's lemma: [appendix](#) (for interest only).

2.5 — First-order Taylor practice (two variables) Together

Approximate $f(1.1, 1.2)$ for $f(x, y) = x^2 + y$ using Taylor at $(1, 1)$, $\mathbf{h} = (0.1, 0.2)$.

2.5 — First-order Taylor practice (two variables) Together

Approximate $f(1.1, 1.2)$ for $f(x, y) = x^2 + y$ using Taylor at $(1, 1)$, $\mathbf{h} = (0.1, 0.2)$.

At $(1, 1)$: $f(1, 1) = 2$, $f_x = 2$, $f_y = 1$.

2.5 — First-order Taylor practice (two variables) Together

Approximate $f(1.1, 1.2)$ for $f(x, y) = x^2 + y$ using Taylor at $(1, 1)$, $\mathbf{h} = (0.1, 0.2)$.

At $(1, 1)$: $f(1, 1) = 2$, $f_x = 2$, $f_y = 1$.

First-order: $2 + 2(0.1) + 1(0.2) = 2.4$.

2.5 — First-order Taylor practice (two variables) Together

Approximate $f(1.1, 1.2)$ for $f(x, y) = x^2 + y$ using Taylor at $(1, 1)$, $\mathbf{h} = (0.1, 0.2)$.

At $(1, 1)$: $f(1, 1) = 2$, $f_x = 2$, $f_y = 1$.

First-order: $2 + 2(0.1) + 1(0.2) = 2.4$.

Exact $f(1.1, 1.2) = 2.41$.

2.5 When linearization works

Works well when:

- the shift is **small**
- curvature is modest (f'' not huge)
- the function is differentiable

Fails or misleads when:

- large shifts, kinks, or non-differentiability
- strong nonlinearity (e.g. corner solutions, thresholds)

Don't make your partner disappointed

 新浪网

 司天钦Gosta
26-02-03 11:50 微博认证: 美食博主

女生男生都超级扣分的行为，快来看看自己中了几条

1. 不定积分结果不加常数C
2. 定积分换元时忘记更换积分上下限
3. 滥用洛必达法则
4. 求复合函数导数时遗漏链式法则项
5. 判别级数敛散性误用判别法
6. 计算行列式或逆矩，目属代数余子式的符号
7. 混淆偏导数与全导数
8. 分部积分法中 du 和 dv 选择不当
9. 在加减运算中，误用等价无穷小
10. 解非齐次微分方程时遗漏特解

2.5 Two variables — matrix form unpacked ignore if you are not familiar with what's Hessian

Setup. $\mathbf{a} = (a_1, a_2)$, $\mathbf{h} = (h_1, h_2)$:

$$f(\mathbf{a} + \mathbf{h}) \approx f(\mathbf{a}) + \nabla f(\mathbf{a}) \cdot \mathbf{h} + \frac{1}{2} \mathbf{h}^T H_f(\mathbf{a}) \mathbf{h}.$$

First-order. $\nabla f = (f_{x_1}, f_{x_2})$ at $\mathbf{a}$, so $\nabla f \cdot \mathbf{h} = f_{x_1} h_1 + f_{x_2} h_2$.

Second-order. $H_f = \begin{pmatrix} f_{x_1 x_1} & f_{x_1 x_2} \\ f_{x_2 x_1} & f_{x_2 x_2} \end{pmatrix}$, and multiply:

$$\mathbf{h}^T H_f \mathbf{h} = (h_1 \ h_2) \begin{pmatrix} f_{x_1 x_1} h_1 + f_{x_1 x_2} h_2 \\ f_{x_2 x_1} h_1 + f_{x_2 x_2} h_2 \end{pmatrix} = f_{x_1 x_1} h_1^2 + (f_{x_1 x_2} + f_{x_2 x_1}) h_1 h_2 + f_{x_2 x_2} h_2^2.$$

If $f \in C^2$, then $f_{x_1 x_2} = f_{x_2 x_1}$, hence

$$f(\mathbf{a} + \mathbf{h}) \approx f(\mathbf{a}) + f_{x_1} h_1 + f_{x_2} h_2 + \frac{1}{2} (f_{x_1 x_1} h_1^2 + 2f_{x_1 x_2} h_1 h_2 + f_{x_2 x_2} h_2^2).$$

2.5 — Second-order Taylor practice (two variables)

Take home

ignore if you are

not familiar with what's Hessian

Approximate $f(0.1, 0.2)$ for $f(x, y) = \sin x + \cos y$ using a second-order Taylor expansion at $(0, 0)$.

Use $\mathbf{h} = (0.1, 0.2)$ and the explicit second-order formula on the matrix-form slide.

Check your answer with a calculator (no need to simplify trig decimals).

Appendix

Not required for Math Camp. Proofs and extra examples linked from the main slides.

A.1 IFT — several variables

System: $\mathbf{F}(\mathbf{y}, \boldsymbol{\theta}) = \mathbf{0}$, $\mathbf{F}: \mathbb{R}^{n+m} \rightarrow \mathbb{R}^n$.

If the $n \times n$ Jacobian $\frac{\partial \mathbf{F}}{\partial \mathbf{y}}$ is invertible at the point, then locally $\mathbf{y} = \mathbf{y}^*(\boldsymbol{\theta})$ and

$$\frac{\partial \mathbf{y}^*}{\partial \boldsymbol{\theta}} = - \left(\frac{\partial \mathbf{F}}{\partial \mathbf{y}} \right)^{-1} \frac{\partial \mathbf{F}}{\partial \boldsymbol{\theta}}.$$

Same pattern as the one-variable formulas with F_y and F_θ . Appears in graduate micro; camp focus is the scalar case in section 2.1.

A.2 Expectation from the CDF

Claim. For non-negative continuous X with PDF f and CDF F ,

$$\mathbb{E}[X] = \int_0^{\infty} xf(x) dx = \int_0^{\infty} (1 - F(x)) dx.$$

Proof (integration by parts). Set $u = 1 - F(x)$ and $dv = dx$. Then $du = -f(x) dx$ and $v = x$:

$$\int_0^{\infty} (1 - F(x)) dx = [x(1 - F(x))]_0^{\infty} - \int_0^{\infty} x(-f(x)) dx = [x(1 - F(x))]_0^{\infty} + \int_0^{\infty} xf(x) dx.$$

At $x = 0$, $x(1 - F(x)) = 0$. As $x \rightarrow \infty$, $x(1 - F(x)) \rightarrow 0$ when $\mathbb{E}[X] < \infty$. Hence

$$\int_0^{\infty} (1 - F(x)) dx = \mathbb{E}[X].$$

□

A.3 Leibniz rule — failure example

Example (fixed limits). On $[0, 1]$, let

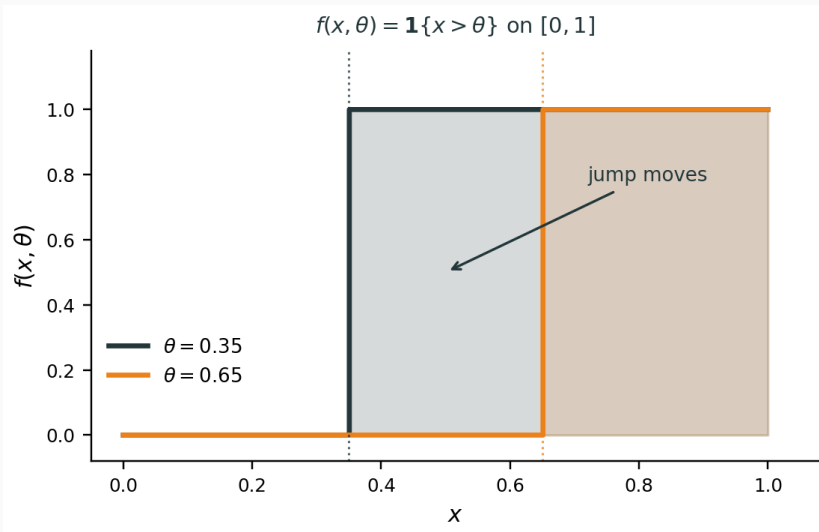
$$f(x, \theta) = \mathbf{1}\{x > \theta\} \quad (\text{step jumps at } x = \theta).$$

Then

$$F(\theta) = \int_0^1 f(x, \theta) dx = 1 - \theta \quad \Rightarrow \quad F'(\theta) = -1.$$

Why Leibniz fails. The discontinuity **moves with** θ , so $\partial f / \partial \theta$ is not continuous on $[0, 1] \times I$. Naively $\partial f / \partial \theta = 0$ a.e., so $\int_0^1 0 dx = 0 \neq F'(\theta)$.

A.3 Leibniz failure — moving step (graph)



A.4 Taylor expansion (one variable)

Claim (second order). If $f \in C^2$ on an interval containing a and $a + h$, then

$$f(a + h) = f(a) + f'(a)h + \frac{1}{2}f''(c)h^2$$

for some c strictly between a and $a + h$.

Proof. Write

$$f(a + h) = f(a) + hf'(a) + R(h).$$

Step 1. By FTC and the chain rule, $f(a + h) - f(a) = \int_0^h f'(a + t) dt$, so

$$R(h) = \int_0^h [f'(a + t) - f'(a)] dt.$$

Step 2. For each $t \in (0, h]$, MVT on f' gives $f'(a + t) - f'(a) = tf''(c_t)$ with $c_t \in (a, a + t)$. Hence

$$R(h) = \int_0^h tf''(c_t) dt = \frac{h^2}{2} f''(c)$$

for some c between a and $a + h$ (continuous f''). □

First order follows from the $n = 1$ case (or MVT on f directly). Multivariable formulas follow from applying the chain rule along $\mathbf{a} + t\mathbf{h}$.

A.5 What is Brownian motion?

Brownian motion W_t (also called a **Wiener process**): a continuous-time **random** path with $W_0 = 0$.

Intuition. Think of a particle jolted by unpredictable shocks (e.g. noise in a stock price). You cannot forecast the next jiggle, but you can describe its **typical size**.

Key facts (informal).

- Over $[t, t + \Delta t]$: increment $\Delta W = W_{t+\Delta t} - W_t$ has mean 0 and variance Δt
- Increments on **non-overlapping** intervals are independent
- Paths are **continuous** but very jagged (not differentiable in the usual sense)

In $dX_t = \mu dt + \sigma dW_t$, the dW_t term is this random noise scaled by σ .

A.5 Taylor and Itô's lemma

Setup. X_t follows an Itô process (e.g. $dX_t = \mu dt + \sigma dW_t$). Over a short interval $[t, t + \Delta t]$,

$$\Delta X = X_{t+\Delta t} - X_t \quad (\text{change in the state variable}).$$

Expand $f(X_t, t)$ in the **two** small steps ΔX and Δt .

Taylor in (x, t) through order 2:

$$\Delta f \approx f_x \Delta X + f_t \Delta t + \frac{1}{2} f_{xx} (\Delta X)^2 + f_{xt} \Delta X \Delta t + \frac{1}{2} f_{tt} (\Delta t)^2.$$

A.5 Itô multiplication rules

Ordinary calculus. If Δt is small, then $(\Delta t)^2$ is **much smaller** and can be dropped.

Stochastic calculus. $\Delta W = W_{t+\Delta t} - W_t$ is one **Brownian increment** (see previous slide): mean 0, variance Δt . So a typical size is $|\Delta W| \sim \sqrt{\Delta t}$, not Δt .

Why $(\Delta W)^2 \approx \Delta t$. Squaring a $\sqrt{\Delta t}$ -sized step gives order Δt :

$$(\Delta W)^2 \sim (\sqrt{\Delta t})^2 = \Delta t.$$

So $(\Delta W)^2$ is **not** negligible next to Δt (unlike $(\Delta t)^2$).

Itô rules (informally): $(\Delta t)^2 \rightarrow 0$, $(\Delta W)^2 \approx \Delta t$, $\Delta t \Delta W \rightarrow 0$. For $dX = \mu dt + \sigma dW$, this makes $\frac{1}{2} f_{xx} (\Delta X)^2$ contribute at the same scale as Δt .

Itô's lemma:

$$df = f_t dt + f_x dX + \frac{1}{2} f_{xx} (dX)^2 \quad (\text{plus higher-order terms}).$$